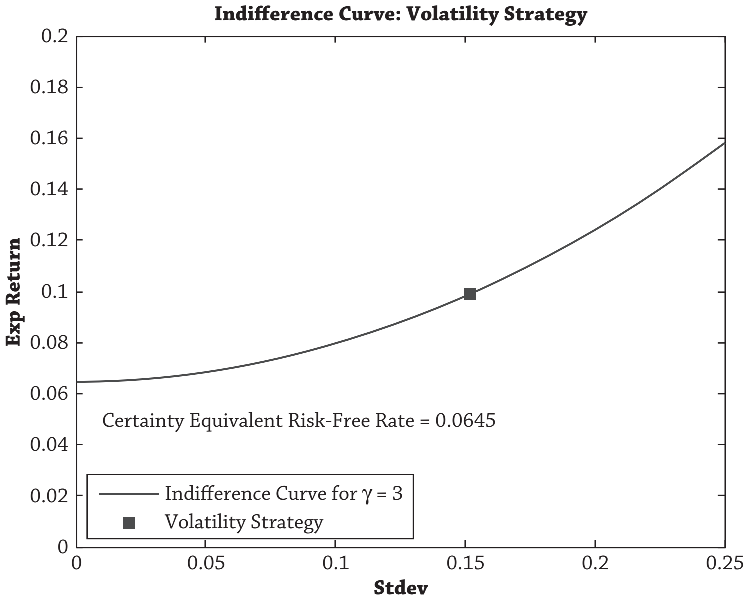

Figure 2.7

cardinality as opposed to the formulation of expected utility in section 2, which was only ordinal.

Certainty equivalent values are extremely useful in portfolio choice. We will use them, for example, to gauge the cost of not diversifying (see chapter 3), to compute the cost of holding illiquid asset positions and to use certainty equivalents to estimate illiquidity premiums (see chapter 13), and to estimate how much compensation an investor would require in exchange for foregoing the right to withdraw capital from a hedge fund during a lock-up period (see chapter 17).

3.3. THE RISK AVERSION OF A TYPICAL PENSION FUND

A typical pension fund holds 40% in fixed income and 60% in more risky assets, a category that includes equities, property, and alternative assets such as hedge funds and private equity. What risk aversion level does this asset mix imply?

Figure 2.8, Panel A, graphs all possible combinations of risk (standard deviation) and return that can be achieved by holding equities and bonds. I use U.S. data from January 1926 to December 2011 from Ibbotson as my proxies for fixed income and riskier assets. The square and circle plot the volatility and mean of stocks and bonds, respectively. The curve linking the two represents all portfolio positions holding both stocks and bonds between 0% and 100%.